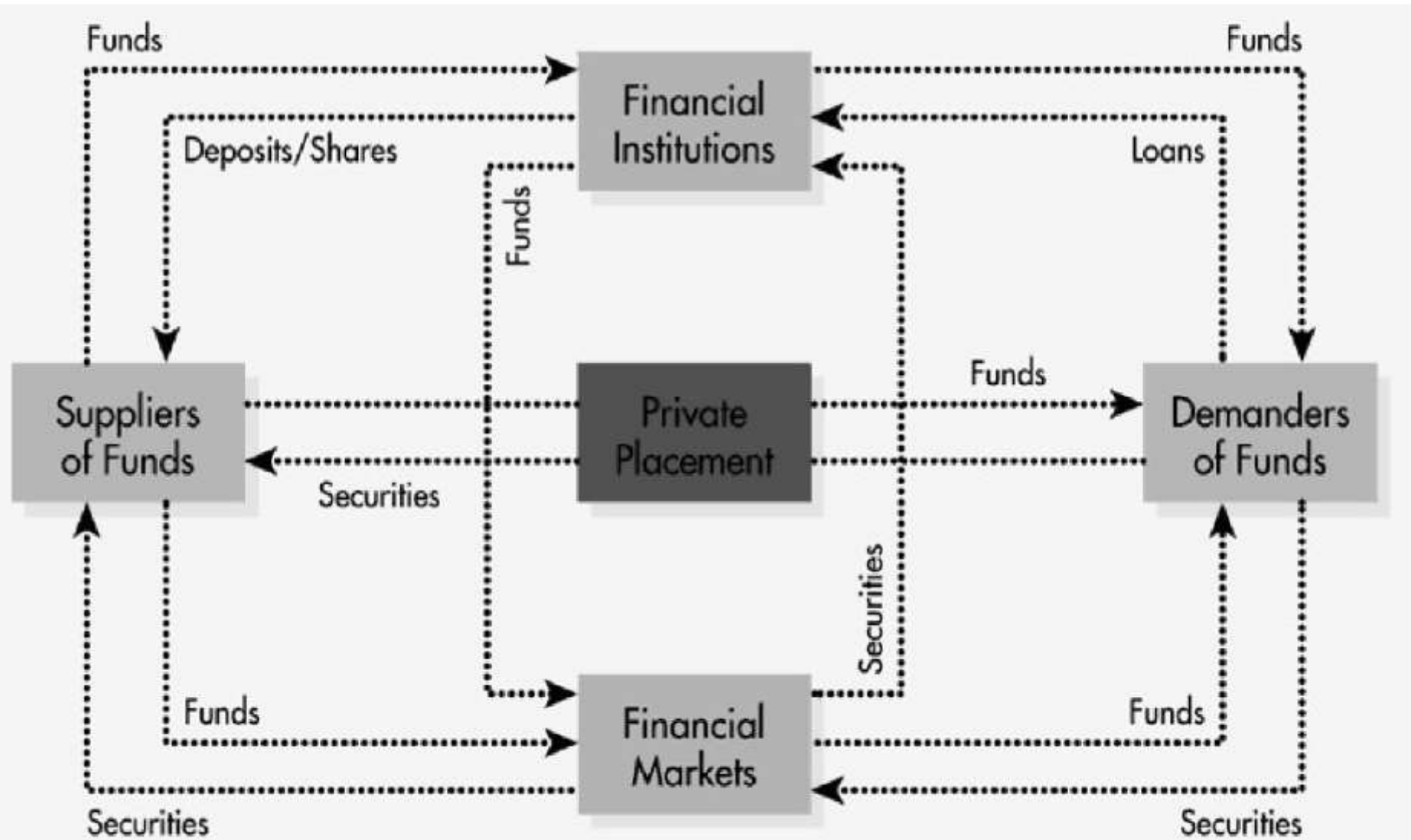
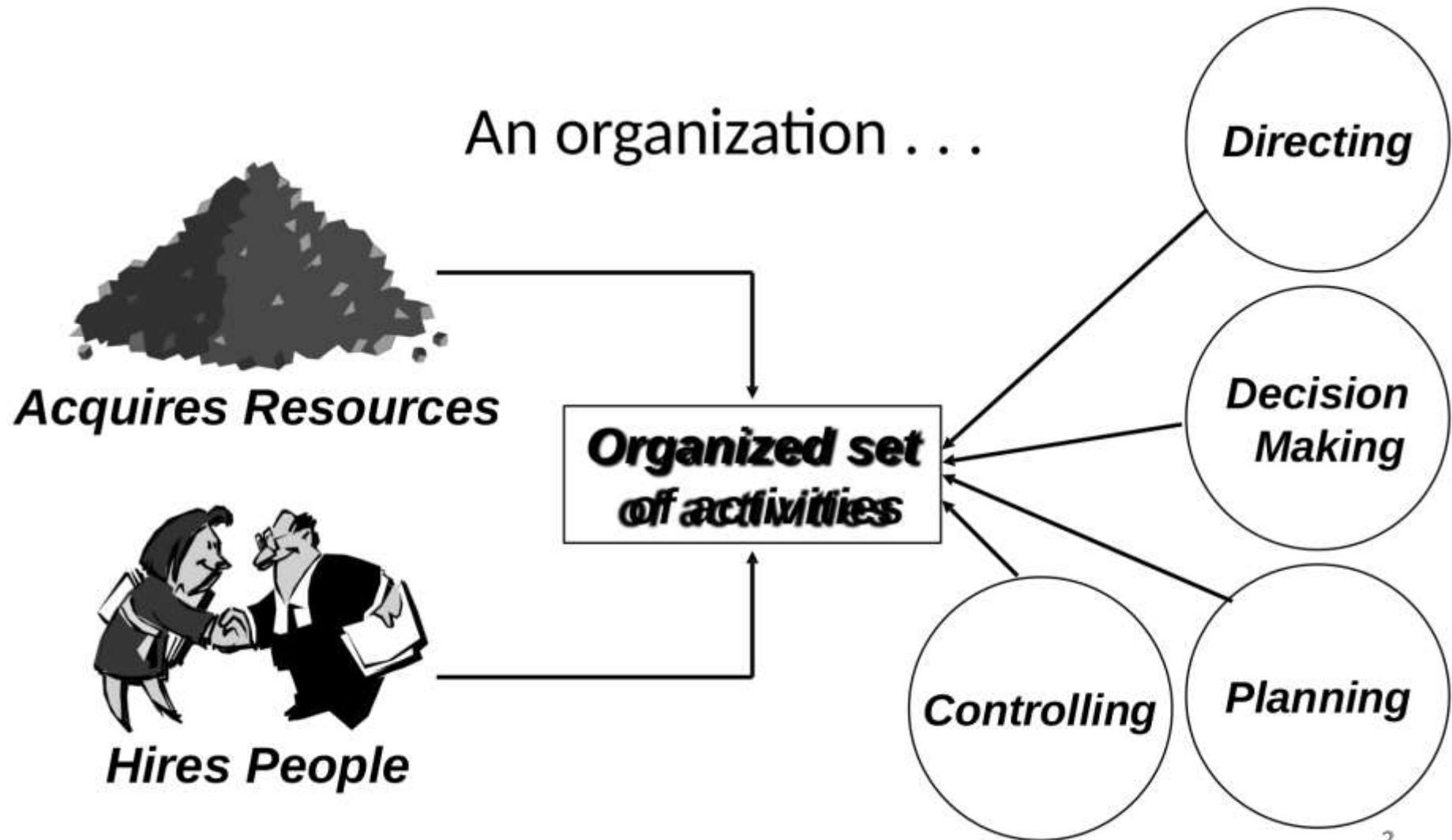


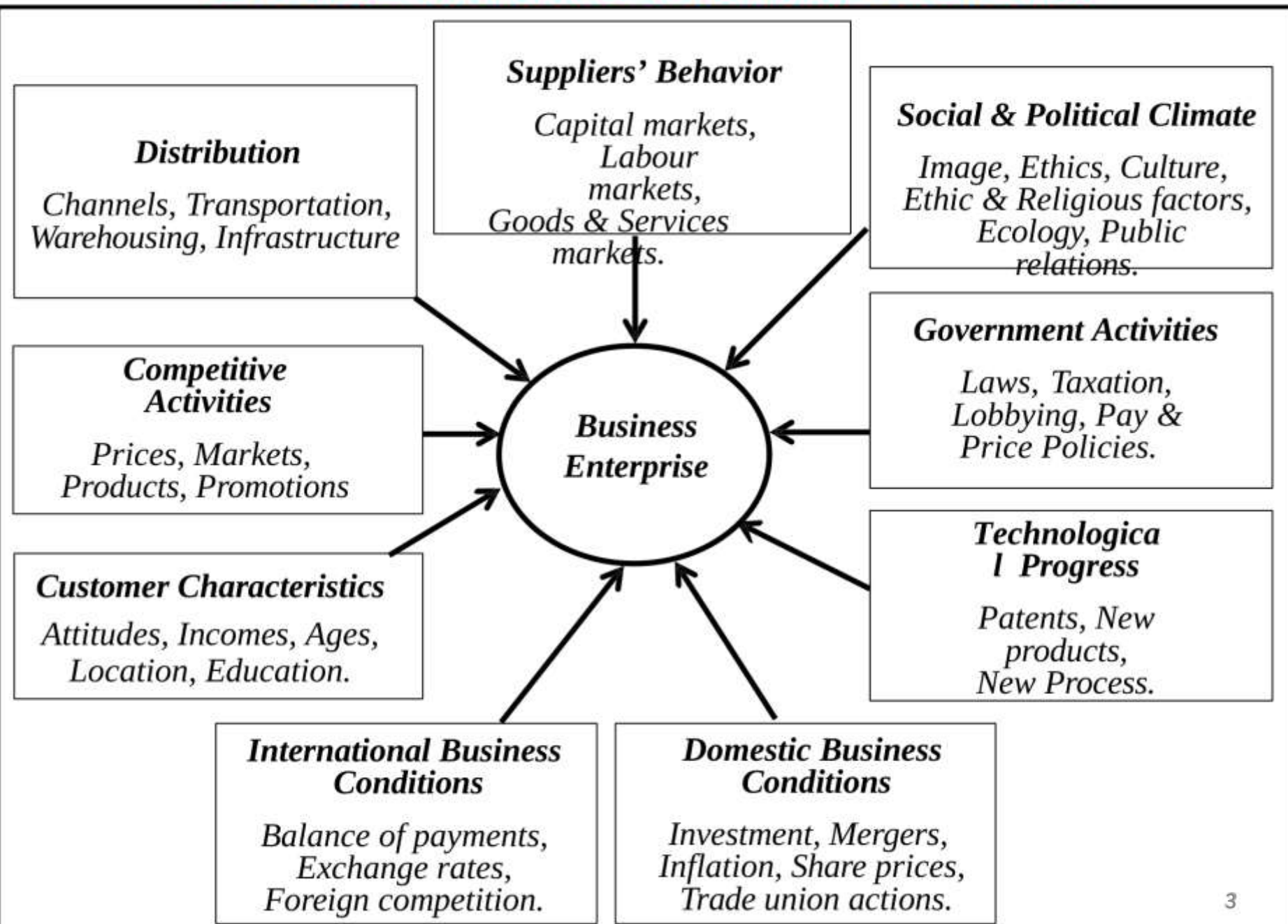
Financial System and Fund Flow



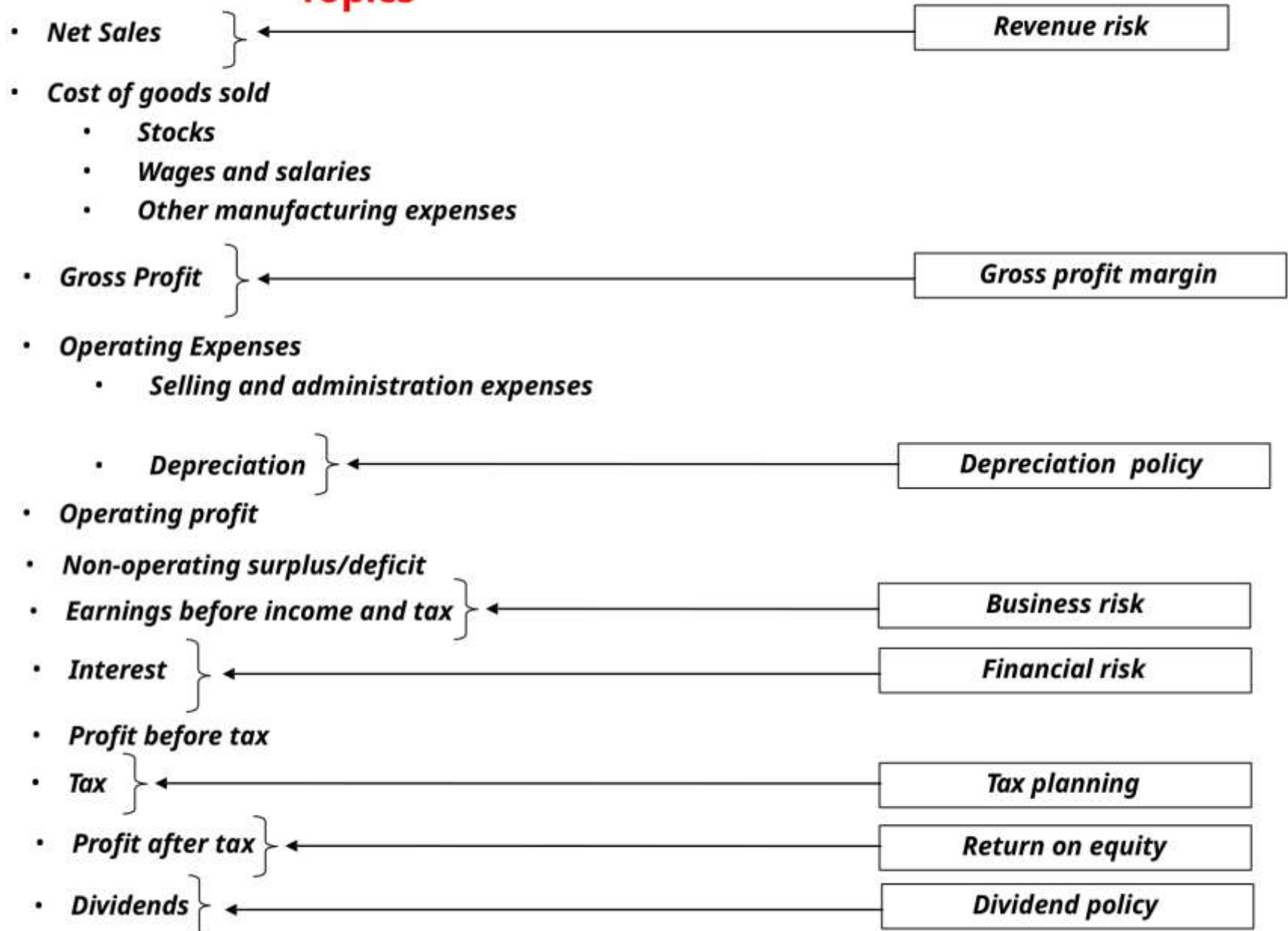
Managing Resources, Activities, and People



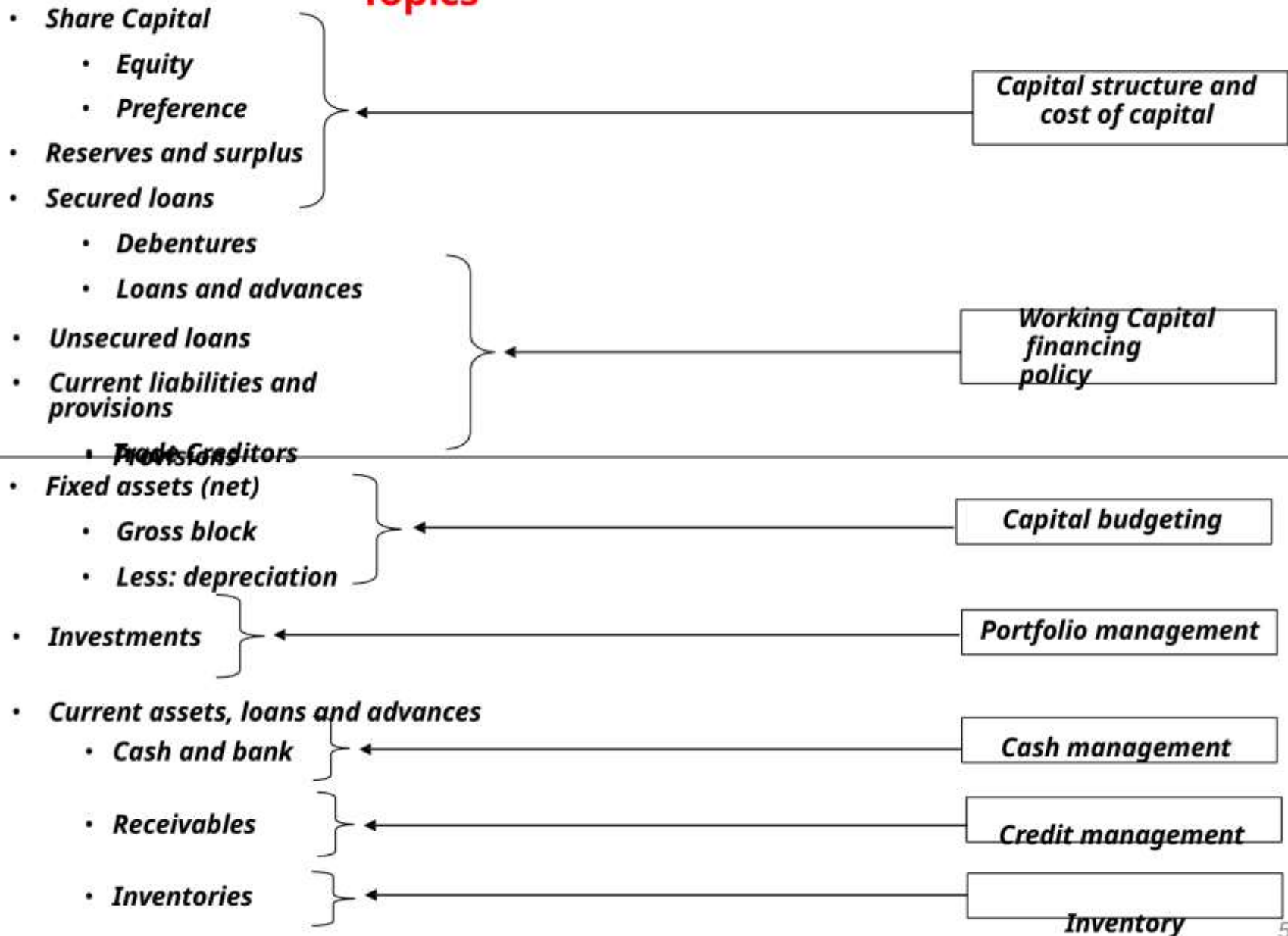
EXTERNAL FACTORS AND BUSINESS ENTERPRISE



Profit & Loss Account and Finance Topics



Balance Sheet and Finance Topics



expenditure and losses

Accounting

Accounting is the process of identifying, measuring and communicating economic information to permit informed judgments and decisions by users of information.

Business Accounting System

*Financial
Accounting*

Cost Accounting

*Management
Accounting*

Generally Accepted Accounting Principles (GAAP)

Money Measurement

Conservative Principle

Separate Entity Concept

Realisation Concept

Duality Concept

Accrual Concept

Going Concern Concept

Matching Concept

Cost Concept

Consistency Concept

Accounting Period Concept

Materiality Concept

The Accounting Cycle Consists of Seven Sequential Stages

1. Transaction analysis
2. Recording transactions in journal books
3. Posting them in ledger books
4. Preparation of trial balance
5. Recording adjustment entries in journal book
6. Closing entries in respect of nominal accounts
7. Preparation of financial statements, namely, Profit and loss account, Profit and loss appropriation account and Balance sheet.

BHARAT TRADERS

Bharat Gupta promotes Bharat Traders, his proprietary firm, to start the business of trading in *Product X* on 1 April 2002. He hires an office at A-12, Agarwal Complex, Vikas Marg, Delhi-110092 @ Rs. 2,500 p.m. The following are the details of the transactions entered into by the firm during the month of April. Please show the voucher for the first transaction and record all the transactions in the journal of Bharat Traders.

Date	Tr. No.	Transactions	Amount (Rupees)
April 1	1	Received cash from Bharat Gupta towards his capital.	1,50,000
April 1	2	Opened a current account with State Bank of India.	1,35,000
April 1	3	Issued cheque for office rent for April.	2,500
April 1	4	Purchased one scooter from Regent Automobiles on credit. All initial costs including insurance borne by the vendor.	31,500
April 1	5	Paid cheque towards down payment for scooter. Balance loan, against security of scooter, payable in 12 monthly instalments starting May 1 with interest @ 12% p.a. on reducing balance.	7,500
April 2	6	Purchased office furniture for cash.	8,500

April 2	7	Purchased office equipments. Paid cheque.	11,500
April 5	8	Purchased 45 units of product X. Issued cheque.	45,000
April 8	9	Sold 10 units of product X. Received cheque. Deposited in SBI.	12,500
April 10	10	Cheque issued for advertisement in the local daily <i>Delhi Times</i> .	2,200
April 12	11	Purchased 75 units of X from ABC & Co. on 15 days' credit.	75,750
April 16	12	Sold 25 units of X to RIL & Co. on credit of one week.	31,875
April 19	13	Sold 5 units of X for cash.	6,425
April 23	14	Received cheque from RIL & Co.	31,875
April 27	15	Issued cheque to ABC & Co.	75,750
April 28	16	Purchased 30 units of X from ABC & Co. on 15 days' credit.	30,450
April 28	17	Sold 20 units of X to RIL & Co. on credit of one week.	25,600
April 30	18	Salary paid to the office assistant Sudaamaa in cash.	3,500
April 30	19	Issued cheque to Bharat Gupta for his personal use.	4,000
April 30	20	Cash paid to the office owner for using his telephone during April.	650
April 30	21	Cash paid to Preet Fill Station towards petrol consumed by the scooter during the month.	550

BHARAT TRADERS

Bharat Gupta promotes Bharat Traders, his proprietary firm, to start the business of trading in *Product X* on 1 April 2002. He hires an office at A-12, Agarwal Complex, Vikas Marg, Delhi-110092 @ Rs. 2,500 p.m. The following are the details of the transactions entered into by the firm during the month of April. Please show the voucher for the first transaction and record all the transactions in the journal of Bharat Traders.

Date	Tr. No.	Transactions	Amount (Rupees)
April 1	1	Received cash from Bharat Gupta towards his capital.	1,50,000
April 1	2	Opened a current account with State Bank of India.	1,35,000
April 1	3	Issued cheque for office rent for April.	2,500
April 1	4	Purchased one scooter from Regent Automobiles on credit. All initial costs including insurance borne by the vendor.	31,500
April 1	5	Paid cheque towards down payment for scooter. Balance loan, against security of scooter, payable in 12 monthly instalments starting May 1 with interest @ 12% p.a. on reducing balance.	7,500
April 2	6	Purchased office furniture for cash.	8,500

April 2	7	Purchased office equipments. Paid cheque.	11,500
April 5	8	Purchased 45 units of product X. Issued cheque.	45,000
April 8	9	Sold 10 units of product X. Received cheque. Deposited in SBI.	12,500
April 10	10	Cheque issued for advertisement in the local daily <i>Delhi Times</i> .	2,200
April 12	11	Purchased 75 units of X from ABC & Co. on 15 days' credit.	75,750
April 16	12	Sold 25 units of X to RIL & Co. on credit of one week.	31,875
April 19	13	Sold 5 units of X for cash.	6,425
April 23	14	Received cheque from RIL & Co.	31,875
April 27	15	Issued cheque to ABC & Co.	75,750
April 28	16	Purchased 30 units of X from ABC & Co. on 15 days' credit.	30,450
April 28	17	Sold 20 units of X to RIL & Co. on credit of one week.	25,600
April 30	18	Salary paid to the office assistant Sudaamaa in cash.	3,500
April 30	19	Issued cheque to Bharat Gupta for his personal use.	4,000
April 30	20	Cash paid to the office owner for using his telephone during April.	650
April 30	21	Cash paid to Preet Fill Station towards petrol consumed by the scooter during the month.	550

ILLUSTRATION**2.1a****ANALYSIS OF TRANSACTIONS**

Analysis of the Above Transactions with Reference to Rules of Recording and Dual Aspect Concept

Tr. No.	Rules	
	Debit	Credit
1	What comes in: asset.	The giver: liability towards the proprietor.
2	The receiver: recoverable. What comes in: asset.	What goes out: asset.
3	Expenses and losses.	The giver: realisation/What goes out: asset.
4	Assets.	The giver: repayable.
5	The receiver: discharge of liability.	The giver: realisation/What goes out: asset.
6	What comes in: asset.	What goes out: asset.
7	What comes in: asset.	The giver: realisation/What goes out: asset.
8	What comes in: asset/Expenses.	The giver: realisation/What goes out: asset.
9	The receiver: recoverable/What comes in: asset.	Incomes and gains.
10	Expenses and losses.	The giver: realisation/What goes out: asset.
11	What comes in: asset/Expenses.	The giver: repayable.
12	The receiver: discharge of liability.	Incomes and gains.
13	What comes in: asset.	Incomes and gains.

14	The receiver: recoverable/What comes in: asset.	The giver: realisation.
15	The receiver: discharge of liability.	The giver: realisation/What goes out: asset.
16	What comes in: asset/Expenses.	The giver: repayable.
17	The receiver: recoverable.	Incomes and gains.
18	Expenses and losses.	What goes out: asset.
19	The receiver: recoverable from the proprietor/ discharge of liability.	The giver: realisation/What goes out: asset.
20	Expenses and losses.	What goes out: asset.
21	Expenses and losses.	What goes out: asset.

ILLUSTRATION

2.1b

DOCUMENTATION

How the first transaction, that is, introduction of capital by the proprietor, is documented is illustrated through the voucher shown below. The various columns of the voucher are self-explanatory. The concept of dual aspect is followed right from the documentation stage of the transaction. Each voucher is serially numbered and provides the original record of a transaction. In the case of purchase, sale, and so on the concerned invoice is also attached to the voucher and forms its integral part.

VOUCHER

BHARAT TRADERS
A-12, Agarwal Complex, Vikas Marg, Delhi.

Voucher No....001

Date...01-04-2002

	AMOUNT	
	Rs.	P.
DEBIT		
Cash	1,50,000	00
Total Rs.	1,50,000	00
CREDIT		
Bharat Gupta's Capital	1,50,000	00
Rupees (in words): One lakh fifty thousand only. Total Rs.	1,50,000	00
Description: Received cash from Bharat Gupta towards his capital.		

Prepared

Checked

Accountant/Office
Assistant

Accounts Officer

Proprietor

Received from Bharat Traders.....
the sum of Rupees.....

.....by Cash/Cheque No.

on account of.....

Rs. _____

Receiver's Signature

STAMP

ILLUSTRATION**2.1c****RECORDING**

As mentioned previously, recording is done in the journal. The journal contains five columns, namely, date, voucher number, account heads and description of the transaction, L.F. and amount (Rs.). The last column is further sub-divided into debit and credit.

BHARAT TRADERS**Journal**

1-04-2002 to 30-04-2002

Folio No. 001

Date 2002	Voucher No.	Account Heads and Description of the Transaction	L. F.	Amount (Rs.)	
				Debit	Credit
April 1	001	Dr....Cash Cr....Bharat Gupta's Capital (Received cash from Bharat Gupta towards his capital.)	001 002	1,50,000	1,50,000
1	002	Dr....State Bank of India Current A/C Cr.... Cash (Opened a current account with State Bank of India.)	003 001	1,35,000	1,35,000

	1	003	Dr....Office Rent Cr.... State Bank of India Current A/C (Office rent paid for April.)	004 003	2,500	2,500
	1	004	Dr....Scooter Cr....Regent Automobiles (Purchased one scooter from Regent Automobiles on credit.)	005 006	31,500	31,500
	1	005	Dr.... Regent Automobiles Cr.... State Bank of India Current A/C (Paid cheque towards down payment.)	006 003	7,500	7,500
			Total		3,26,500	3,26,500

Folio No. 002

Date 2002	Voucher No.	Account Heads and Description of the Transaction	L. F.	Amount (Rs.)	
				Debit	Credit
	2	006	Dr....Furniture Cr....Cash (Purchased office furniture.)	007 001	8,500 8,500
	2	007	Dr....Office Equipments Cr.... State Bank of India Current A/C (Purchased office equipments.)	008 003	11,500 11,500

	5	008	Dr.... Purchases Cr.... State Bank of India Current A/C (Purchased 45 units of product X.)	009 003	45,000	45,000
	8	009	Dr.... State Bank of India Current A/C Cr.... Sales (Sold 10 units of product X.)	003 010	12,500	12,500
	10	010	Dr.... Advertisement and Publicity Cr.... State Bank of India Current A/C (Paid for advertisement in <i>Delhi Times</i> .)	011 003	2,200	2,200
			Total		79,700	79,700

Folio No. 003

Date 2002	Voucher No.	Account Heads and Description of the Transaction	L. F.	Amount (Rs.)	
				Debit	Credit
12	011	Dr.... Purchases Cr.... ABC & Co. (Purchased 75 units of X on 15 days' credit.)	009 012	75,750	75,750
16	012	Dr.... RIL & Co. Cr.... Sales (Sold 25 units of X on credit of one week.)	013 010	31,875	31,875
19	013	Dr.... Cash Cr.... Sales (Sold 5 units of X.)	001 010	6,425	6,425

	23	014	Dr.... State Bank of India Current A/C Cr.... RIL & Co. (Received cheque from the customer.)	003 013	31,875	31,875
	27	015	Dr.... ABC & Co. Cr.... State Bank of India Current A/C (Issued cheque to the supplier.)	012 003	75,750	75,750
			Total		2,21,675	2,21,675

Folio No. 004

Date 2002	Voucher No.	Account Heads and Description of the Transaction	L. F.	Amount (Rs.)	
				Debit	Credit
	28	016 Dr.... Purchases Cr.... ABC & Co. (Purchased 30 units of X on 15 days' credit.)	009 012	30,450	30,450
	28	017 Dr.... RIL & Co. Cr.... Sales (Sold 20 units of X on credit of one week.)	013 010	25,600	25,600
	30	018 Dr.... Salaries Cr.... Cash (Salary paid to the office assistant Sudaamaa for April.)	014 001	3,500	3,500

	30	019	Dr....Bharat Gupta's Drawings Cr.... State Bank of India Current A/C (Issued cheque to Bharat Gupta for his personal use.)	015 003	4,000	4,000
	30	020	Dr....Telephone Expenses Cr....Cash (Cash paid to the office owner for using his telephone during April.)	016 001	650	650
			Total		64,200	64,200

Folio No. 005

Date 2002	Voucher No.	Account Heads and Description of the Transaction	L. F.	Amount (Rs.)	
				Debit	Credit
	30	021 Dr.... Vehicle Expenses Cr....Cash (Cash paid to Preet Fill Station towards petrol consumed by the scooter during April.)	017 001	550	550
		Total		550	550

ILLUSTRATION

2.2

CLASSIFYING BUSINESS TRANSACTIONS

We now move over to classifying the transactions recorded in the journal of Bharat Traders. The ledger for the period from 1-04-2002 to 30-04-2002 is shown hereunder.

Bharat Traders

Ledger

1-04-2002 to 30-04-2002

Account... **Cash**

Folio No.... **001**

Date 2002		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	1	001	To Bharat Gupta's capital	001	1,50,000		Dr.	1,50,000
	1	002	By SBI current account	001		1,35,000	Dr.	15,000
	2	006	By furniture	002		8,500	Dr.	6,500
	19	013	To sales	003	6,425		Dr.	12,925
	30	018	By salary to Sudaamaa	004		3,500	Dr.	9,425
	30	020	By telephone expenses	004		650	Dr.	8,775
	30	021	By vehicle expenses	005		550	Dr.	8,225
Total					1,56,425	1,48,200	Dr.	8,225

Account... Bharat Gupta's Capital							Folio No.... 002	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	1	001	By cash	001		1,50,000	Cr.	1,50,000
			Total		...	1,50,000	Cr.	1,50,000

Account...		State Bank of India Current A/C					Folio No.... 003	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	1	002	To opening of current a/c	001	1,35,000		Dr.	1,35,000
	1	003	By office rent	001		2,500	Dr.	1,32,500
	1	005	By Regent Automobiles	001		7,500	Dr.	1,25,000
	2	007	By office equipments	002		11,500	Dr.	1,13,500
	5	008	By purchase	002		45,000	Dr.	68,500
	8	009	To sales	002	12,500		Dr.	81,000
	10	010	By advertisement and publicity	002		2,200	Dr.	78,800
	23	014	To RIL & Co.	003	31,875		Dr.	1,10,675
	27	015	By ABC & Co.	003		75,750	Dr.	34,925
	30	019	By Bharat Gupta's drawings	004		4,000	Dr.	30,925
			Total		1,79,375	1,48,450	Dr.	30,925

Account... Office Rent							Folio No.... 004	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	1	003	To State Bank of India C/A	001	2,500		Dr.	2,500
			Total		2,500	—	Dr.	2,500

Account... Scooter						Folio No.... 005		
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	1	004	To Regent Automobiles	001	31,500		Dr.	31,500
			Total		31,500	—	Dr.	31,500

Account... Regent Automobiles							Folio No.... 006	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	1	004	By scooter	001		31,500	Cr.	31,500
	1	005	To State Bank of India C/A	001	7,500		Cr.	24,000
			Total		7,500	31,500	Cr.	24,000

Account...		Furniture					Folio No.... 007	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	2	006	To cash	002	8,500		Dr.	8,500
			Total		8,500	—	Dr.	8,500

Account...		Office Equipments						Folio No.... 008	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance		
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)	
April	2	007	To State Bank of India C/A	002	11,500		Dr.	11,500	
			Total		11,500	—	Dr.	11,500	

Account...		Purchases					Folio No.... 009	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	5	008	To State Bank of India C/A	002	45,000		Dr.	45,000
	12	011	To ABC & Co.	003	75,750		Dr.	1,20,750
	28	016	To ABC & Co.	004	30,450		Dr.	1,51,200
			Total		1,51,200	—	Dr.	1,51,200

Account...		Sale				Folio No.... 010		
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	8	009	By State Bank of India C/A	002		12,500	Cr.	12,500
	16	012	By RIL & Co.	003		31,875	Cr.	44,375
	19	013	By cash	003		6,425	Cr.	50,800
	28	017	By RIL & Co.	004		25,600	Cr.	76,400
			Total		—	76,400	Cr.	76,400

Account...		Advertisement and Publicity						Folio No.... 011	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance		
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)	
April	10	010	To State Bank of India C/A	002	2,200		Dr.	2,200	
			Total		2,200	—	Dr.	2,200	

Account... ABC & Co.							Folio No.... 012	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	12	011	To purchase	003		75,750	Cr.	75,750
	27	015	To State Bank of India C/A	003	75,750			—
	28	016	By purchase	004		30,450	Cr.	30,450
			Total		75,750	1,06,200	Cr.	30,450

Account... RIL & Co.						Folio No.... 013		
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	16	012	To sales	003	31,875		Dr.	31,875
	23	014	By State Bank of India C/A	003		31,875		—
	28	017	To sales	004	25,600		Dr.	25,600
			Total		57,475	31,875	Dr.	25,600

Account... Salaries					Folio No.... 014			
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	30	018	To cash paid to Sudaamaa	004	3,500		Dr.	3,500
Total					3,500	—	Dr.	3,500

Account... Bharat Gupta's Drawings						Folio No.... 015		
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance	
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)
April	30	019	To State Bank of India C/A	004	4,000		Dr.	4,000
			Total		4,000	—	Dr.	4,000

Account...		Telephone Expenses						Folio No.... 016	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance		
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)	
April	30	020	To cash paid to office owner	004	650		Dr.	650	
			Total		650	—	Dr.	650	

Account...		Vehicle Expenses						Folio No.... 017	
Date		Voucher No.	Particulars	J. F.	Amount (Rs.)		Balance		
2002					Debit	Credit	Dr/Cr.	Amount (Rs.)	
April	30	021	To cash paid to Preet Fill Station	005	550		Dr.	550	
			Total		550	—	Dr.	550	

ILLUSTRATION**2.3****SUMMARISING BUSINESS TRANSACTIONS**

We now move to summarising the transactions classified in the ledger of Bharat Traders. The trial balance as on 30 April, 2002 is shown hereunder.

Bharat Traders**Trial Balance as on 30 April 2002**

Account Heads	L.F.	Amount (Rs.)	
		Debit	Credit
Cash	001	8,225	
Bharat Gupta's Capital	002		1,50,000
State Bank of India Current Account	003	30,925	
Office Rent	004	2,500	
Scooter	005	31,500	
Regent Automobiles	006		24,000
Furniture	007	8,500	

Furniture	007	8,500	
Office Equipments	008	11,500	
Purchases	009	1,51,200	
Sales	010		76,400
Advertisement and Publicity	011	2,200	
ABC & Co.	012		30,450
RIL & Co.	013	25,600	
Salaries	014	3,500	
Bharat Gupta's Drawings	015	4,000	
Telephone Expenses	016	650	
Vehicle Expenses	017	550	
Total		2,80,850	2,80,850

- ***Measurement of Business Income and Financial Position***
- ***Trial Balance to Balance Sheet and Profit and Loss Account***

- ***Trial Balance to Balance Sheet and Profit and Loss Account***

ILLUSTRATION

3.1

ANALYSIS OF TRIAL BALANCE

BHARAT TRADERS

Trial Balance, with Analysis, as on 30-04-2002

Sl. No.	Account Heads	L.F.	Amount (Rs.)		Analysis	Allocation to
			Debit	Credit		
1	Cash	001	8,225		Current asset	Balance sheet
2	Bharat Gupta's Capital	002		1,50,000	Capital liability	Balance sheet
3	State Bank of India Current Account				Cash-at-bank—current	Balance sheet ³⁰

4	Office Rent	004	2,500		Expense	P & L A/C
5	Scooter	005	31,500		Fixed asset	Balance sheet
6	Regent Automobiles	006		24,000	Secured loan—liability	Balance sheet
7	Furniture	007	8,500		Fixed asset	Balance sheet
8	Office Equipments	008	11,500		Fixed asset	Balance sheet
9	Purchases (see note below)	009	1,51,200		Expense	Trading A/C
10	Sales	010		76,400	Income	Trading A/C
11	Advertisement and Publicity	011	2,200		Expense	P & L A/C
12	ABC & Co.	012		30,450	Creditor—current liability	Balance sheet
13	RIL & Co.	013	25,600		Debtor—current asset	Balance sheet
14	Salaries	014	3,500		Expense	P & L A/C
15	Bharat Gupta's Drawings	015	4,000		Advance—current asset (reduction in capital)	Balance sheet
16	Telephone Expenses	016	650		Expense	P & L A/C
17	Vehicle Expenses	017	550		Expense	P & L A/C
	Total		2,80,850	2,80,850		

Note: Quantity purchased, to the extent sold, represents an expense and that unsold an asset, being inventory.

Need for adjustments

ILLUSTRATION

3.2

NEED FOR ADJUSTMENTS

BHARAT TRADERS

IDENTIFICATION OF ADJUSTMENTS

Let us apply this principle to the case of Bharat Traders for the purpose of drawing its financial statements for the month of April 2002. We need to scrutinise each and every ledger account for the purpose and identify the expenses, which need to be adjusted for matching with the income and any adjustments to income itself. This process leads us to the following observations:

1. **Scooter:** Purchased one on 1st April. Used for purposes of business. This leads to depreciation in the value of the scooter. Hence a suitable expense to be charged to the profit and loss account on this count. The Income Tax Act allows a depreciation of 25% on scooter, which is to be apportioned *pro rata*. Rs. 656.
2. **Regent Automobiles:** Interest payable on the loan of Rs. 24,000 @ 12% p.a. on reducing balance starting 1st May. Interest for April (Rs. 240) to be charged as an expense.
3. **Furniture:** Purchased on 2nd April. Rest of the observation as per scooter. The Income Tax Act allows a depreciation of 15% on furniture, which is to be apportioned *pro rata*. Rs. 106.
4. **Office Equipments:** Purchased on 2nd April. Rest of the observation as per scooter. The Income Tax Act allows a depreciation of 25% on these items, which is to be apportioned *pro rata*. Rs. 240.
5. **Purchases:** What needs to be ascertained is whether the firm has sold/used the entire quantity purchased or there lies some unsold inventory on 30th April. Profit and loss account has to be charged only with the cost of quantity sold. We need to prepare an inventory account of product X for this purpose.

Inventory valuation

ILLUSTRATION

3.3

INVENTORY VALUATION

BHARAT TRADERS

PRODUCT X—INVENTORY ACCOUNT

Date		Vr. No.	Purchase Price (Rs.)	Units		
2002				Receipts	Issues	Balance
April	5	008	45,000	45		45
	8	009			10	35
	12	011	75,750	75		110
	16	012			25	85
	19	013			5	80
	28	016	30,450	30		110
	28	017			20	90
		Total		150	60	90

We note that only 60 units, out of 150 purchased, have been sold, leaving an inventory of 90 units on 30th April 2002. Therefore the cost of only 60 units will be charged to the profit and loss account and that of 90 units will be shown in the balance sheet as current asset. Let us work out the cost of inventory. There are many methods of inventory valuation, which we will discuss in detail in Chapter 8.

Assuming that, at every sale, the units sold were drawn from the earliest lot first, the closing inventory represents 30 units purchased on April 28 and the balance 60 units out of 75 units purchased on April 12. The valuation will thus be:

VALUATION OF INVENTORY		
Units	Computation	Value (Rs.)
60	$\frac{60 \times 75,750}{75}$	60,600
30	...	30,450
90	...	91,050

Construction of balance sheet and profit and Loss account

ILLUSTRATION

3.4

CONSTRUCTION OF BALANCE SHEET AND PROFIT AND LOSS ACCOUNT

BHARAT TRADERS

Balance Sheet as on 30-04-2002

We note that only 60 units, out of 150 purchased, have been sold, leaving an inventory of 90 units on 30th April 2002. Therefore the cost of only 60 units will be charged to the profit and loss account and that of 90 units will be shown in the balance sheet as current asset. Let us work out the cost of inventory. There are many methods of inventory valuation, which we will discuss in detail in Chapter 8.

Assuming that, at every sale, the units sold were drawn from the earliest lot first, the closing inventory represents 30 units purchased on April 28 and the balance 60 units out of 75 units purchased on April 12. The valuation will thus be:

VALUATION OF INVENTORY		
Units	Computation	Value (Rs.)
60	$\frac{60 \times 75,750}{75}$	60,600
30	...	30,450
90	...	91,050

Construction of balance sheet and profit and Loss account

ILLUSTRATION

3.4

CONSTRUCTION OF BALANCE SHEET AND PROFIT AND LOSS ACCOUNT

BHARAT TRADERS

Balance Sheet as on 30-04-2002

Liabilities		Amount (Rs.)	Assets		Amount (Rs.)
Bharat Gupta's Capital:			Fixed Assets:		
Capital brought in	1,50,000		Office Equipments	11,500	
Less: Bharat Gupta's Drawings	<u>4,000</u>		Less: Dep. @ 25%	<u>240</u>	11,260
Balance	1,46,000				
Add: Net profit transferred from P & L A/C	<u>5,608</u>	1,51,608			
Loan from Regent Automobiles	24,000		Furniture	8,500	
Add: Interest Due	<u>240</u>	24,240	Less: Dep. @ 15%	<u>106</u>	8,394
Current Liabilities:			Scooter	31,500	
			Less: Dep. @ 25%	<u>656</u>	30,844
Creditors—ABC & Co.		30,450	Current Assets:		
			Inventory		91,050
			Debtors—RIL & Co.		25,600
			Cash-in-hand		8,225
			Balance in Current Account— State Bank of India		30,925
Total		2,06,298	Total		2,06,298

BHARAT TRADERS

Profit and Loss Account for the Month Ended 30-04-2002

Expenses		Amount (Rs.)	Income		Amount (Rs.)
Purchases		1,51,200	Sales		76,400
Gross Profit c/d		16,250	Closing Inventory		91,050
Total		1,67,450	Total		1,67,450
Office Rent		2,500	Gross Profit b/d		16,250
Advertisement and Publicity		2,200			
Salaries		3,500			
Telephone Expenses		650			
Vehicle Expenses		550			
Depreciation on:					
• Office Equipments	240				
• Furniture	106				
• Scooter	<u>656</u>	1,002			
Interest on Loan		240			
Net Profit Added to Bharat Gupta's Capital		5,608			
Total		16,250	Total		16,250

***Brief analysis of the financial
statements of
traders***

Bharat

ILLUSTRATION

3.5

BRIEF ANALYSIS OF FINANCIAL STATEMENTS

BRARAT TRADERS

1. The firm has earned a *net profit* of Rs. 5,608 in the very first month of its operations. By any standard a fabulous annualise return of around 45% on an investment of Rs. 1,50,000.
2. The firm owns *assets* to the extent of Rs. 2,06,298 and owes to outsiders, Regent Automobiles and ABC & Co., Rs. 54,690.
3. The *capital* of Bharat Gupta, even after withdrawal of Rs. 4,000 by him, has *grown* to Rs. 1,51,608. This is the amount that the firm owes to him. It may be noted that it is the residual figure of all assets minus outside liabilities (Rs. 2,06,298 – 54,690 = Rs. 1,51,608), thus proving the basic accounting equation.